

# Payroll Ops Adjustment

## FICA Refund - User Guide

Payroll Operations Team  
Version 2.0 | May 2026

PAYROLL OPS v2.0

Clear Data

PAYROLL OPS SUITE

Deploy

PAYROLL OPS ADJUSTMENT

CALCULATOR · FICA REFUND · FICA DEBIT

Calculator

FICA Refund

FICA Debit

Open User Guide (PDF)

Member ID

Company ID

Tax Year

2026

Q1 — 03/31/2026

Social Security

SS Wages (\$)

0.00

SS Tax (\$)

0.00

Adjustment Date

03/31/2026

Medicare

Medicare Wages (\$)

0.00

Medicare Tax (\$)

0.00

FUTA

FUTA Wages (\$)

0.00

FUTA Tax (\$)

0.00

### 1. Overview

The FICA Refund tab generates CSV exports for refunding over-collected FICA taxes (Social Security, Medicare, and FUTA) across one or more quarters. It creates Clearing/Debit rows for each tax type and matching Member/Credit and Company/Credit rows to refund the employee and reduce the employer liability.

## When to Use

- Employee was over-withheld for Social Security (exceeded wage base mid-year)
- Medicare was over-collected due to payroll error
- FUTA was charged beyond the \$7,000 wage base
- Quarterly corrections needed for prior-period FICA

## 2. Input Fields

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### Global Fields

Member ID: The employee's MID (M-prefix).

Company ID: The CID for the company.

Tax Year: Determines quarter end dates and wage bases.

### Per-Quarter Data

Each quarter (Q1-Q4) has an expandable section with:

Social Security:

- SS Wages (\$): The overstated SS wages for this quarter
- SS Tax (\$): Auto-calculated at 6.2%, editable

Medicare:

- Medicare Wages (\$): The overstated Medicare wages
- Medicare Tax (\$): Auto-calculated at 1.45%, editable

FUTA:

- FUTA Wages (\$): The overstated FUTA wages
- FUTA Tax (\$): Auto-calculated at 0.6%, editable

Adjustment Date: Defaults to quarter end date (adjusted for weekends). Editable.

### Validation

The tool validates that entered tax amounts match expected rates. If SS Tax differs from 6.2% of SS Wages by more than \$0.10, a warning appears. Same for Medicare (1.45%) and FUTA (0.6%). You can override the amounts if the variance is intentional.

## 3. CSV Output

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### Row Structure (per quarter)

For each quarter with data, the tool generates:

1. Clearing/Debit - 00-403 (SS Employee): refund SS tax
2. Clearing/Debit - 00-404 (SS Employer): refund SS tax
3. Clearing/Debit - 00-406 (Medicare Employee): refund Medicare tax
4. Clearing/Debit - 00-407 (Medicare Employer): refund Medicare tax
5. Clearing/Debit - 00-402 (FUTA): refund FUTA tax (if applicable)

6. Member/Credit: sum of employee taxes (SS + Medicare) refunded to employee
7. Company/Credit: sum of all taxes (including employer) refunded to company

## Download

Preview the full CSV in a dataframe before downloading. Filename: {MID} {CID} FICA Refund.csv

Missing MID or CID triggers an error prompting you to fill them in.

## 4. Step-by-Step Workflow

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1. Enter Member ID, Company ID, and select Tax Year
2. In each relevant quarter, enter SS Wages and/or Medicare Wages
3. Review auto-calculated tax amounts (adjust if needed)
4. Add FUTA wages if applicable
5. Verify adjustment dates (default to quarter-end, weekday-adjusted)
6. Check validation warnings - dismiss or fix
7. Add notes if needed
8. Preview the CSV in the export section
9. Download the CSV file